Subject To Addendum

SUBJECT TO ADDENDUM TO CONTRACT FOR THE PURCHASE CONTRACT AND ESCROW INSTRUCTIONS (the "Contract") Capitalized terms not expressly defined in this Addendum have the meanings given to them in the Contract. The Parties acknowledge and agree that Buyer is acquiring the Property subject to the Seller's existing loan(s) secured by one or more deeds of trust/mortgages against the Property (the "Existing Loan(s)"). This means that the Existing Loan(s) will not be paid off through Buyer's purchase of the Property. The Existing Loan(s) will remain outstanding and the deed(s) of trust/mortgages securing the Existing Loan(s) will remain as liens against the Property. Seller shall remain liable on the Existing Loan(s) and the Existing Loan(s) shall remain in Seller's name. The Parties also understand, acknowledge and agree that the deed(s) of trust/mortgages securing the Existing Loan(s) has/have a "Due on Sale" clause, which allows the lender(s) for the Existing Loan(s) to initiate a foreclosure proceeding for the Property due to the sale, transfer or conveyance of the Property from Seller to Buyer. Prior to COE, Seller shall execute the following documents: Authorization to Release Information in favor of the Buyer to allow the Buyer to contact and obtain information from the lender(s) for the Existing Loan(s). Authorization to Release Information in favor of the Buyer to allow the Buyer to contact and obtain information from the insurers and insurance agents for the Property. Notice of Change of Address to be delivered to the lender(s) for the Existing Loan(s), which will reflect Buyer's street address, email and phone information. Notice of Change of Address to be delivered to any insurer providing or to provide insurance coverage for or related to the Property. Escrow Letter containing instructions to the lender(s) of the Existing Loan(s) as to the application funds held by lender in its escrow account. Limited Power of Attorney appointing Buyer as Seller's agent for the purpose of providing for and arranging insurance, making and accounting for mortgage payments, or any other matters that pertain to the Property. Seller shall execute an Assignment of Insurance Proceeds in favor of Buyer, which assigns all of Seller's right, title and interest in any insurance proceeds to be paid by any insurer for the Property to Buyer. The originals of the documents listed above shall be undated and maintained by the Buyer. Seller authorizes Buyer to ascribe a date on Seller's behalf to the original or any copy of the above documents in order to meet lender requirements. Buyer, in Buyer's sole and absolute discretion, is authorized to keep and maintain any insurance in place covering the Property upon COE and/or to add Buyer as an additional insured under any existing policy or to secure new or additional insurance in the name of the Seller. Buyer, in Buyer’s sole and absolute discretion, may be named as the primary insured, additional insured, additional interest, or loss payee or may choose not to be named on the insurance policies in effect covering the Property after C OE. Seller shall cooperate with Buyer and execute any and all documents Buyer or any insurance company deems necessary for Buyer to be named as primary insured, additional insured, or additional interest on the Property. All insurance proceeds that would otherwise be payable to the Seller for any loss occurring on the Property after COE shall be paid to Buyer and Seller hereby conveys and assigns its rights to such insurance proceeds to Buyer. Seller shall execute any and all checks or documents necessary for the insurance proceeds to be paid to Buyer in the event of a loss related to the Property. BUYER'S REPRESENTATIONS AND WARRANTIES In addition to Buyer's representations and warranties in the Contract, Buyer hereby represents, warrants and covenants, with the understanding that Seller is relying on such representations and warranties and that such representations and warranties survive COE, that: Buyer is aware of and fully understands the terms of the Contract, this Addendum, and the nature of the transaction contemplated thereby. Buyer understands that the Property is being acquired subject to the Seller's Existing Loan(s) secured by one or more deeds of trust/mortgages against the Property. This means that the Existing Loan(s) will not be paid off through Buyer's purchase of the Property. The Existing Loan(s) will remain outstanding and the deed(s) of trust/mortgage(s) securing the Existing Loan(s) will remain as liens against the Property. Buyer understands, acknowledges and agrees that the deed(s) of trust/mortgage(s) securing the Existing Loan(s) contain due on sale clauses, which allows the lender(s) to call the Existing Loan(s) due upon transfer of the Property by the Seller. Foreclosure proceedings will be initiated in the event the lender(s) invoke the lender(s)' rights under the due on sale clause. Buyer understands, acknowledges, and agrees that in this event, Buyer, in its sole and absolute discretion, will need to assume the Existing L oan(s) through agreement with the lender(s) or servicer(s) of the Existing Loan(s), pay off the Existing Loan(s), sell the Property, convey title to the Property back to Seller, or restructure the transaction to meet lender(s) requirements to avoid losing the Property to foreclosure. Buyer understands, acknowledges and agrees that, depending upon the requirements of the servicer(s) and lender(s) of the Existing Loans, the servicer(s) or lender(s) may not grant Buyer with access to the loan balance, payment amounts, payment changes, impound account balances or any refunds thereunder. Buyer understands, acknowledges and agrees that the servicer(s) and lender(s) of the Existing Loan(s) may refuse to accept casualty insurance policies or endorsements issued for Buyer's protection or naming Buyer as the primary, additional insured, or additional interest and Buyer may be forced to carry and pay for duplicate casualty insurance coverage. SELLER'S REPRESENTATIONS AND WARRANTIES In addition to Seller's representations and warranties in the Contract, Seller hereby represents, warrants and covenants, with the understanding that Buyer is relying on such representations and warranties and that such representations and warranties survive COE, that: Seller is aware of and fully understands terms of the Contract, this Addendum and the nature of the transaction contemplated thereby. Seller understands that the Property is being acquired by Buyer subject to Seller's Existing Loan(s) secured by one or more deeds of trust/mortgages against the Property. This means that the Existing Loan(s) will not be paid off through Buyer's purchase of the Property.The Existing Loan(s) will remain outstanding and the deed(s) of trust/mortgage(s) securing the Existing Loan(s) will remain as liens against the Property. Seller will not make any statements or engage in any conduct that will cause or is likely to cause any lender(s) for the Existing Loan(s) to initiate foreclosure proceedings with respect to the Property or to take any action adverse to Buyer or Buyer's ownership of the Property. Seller will not make any statements or engage in any conduct that will result or is likely to result in the cancellation of any insurance for or related to the Property. In the event the lender(s) for the Existing Loan(s) invokes the due on sale clause, Seller shall hold Buyer harmless for any loss or damages which may occur as a result of lender(s)' foreclosure. In the event the lender(s) for the Existing Loan(s) invokes the due on sale clause, Seller shall cooperate with the Buyer in executing any documents (not inconsistent with the Contract and this Addendum) that are necessary to meet the lender(s)’ requirements or to restructure the transaction with the same substantive terms as the Contract if such restructuring will meet lender(s)’ requirements. In the event Seller files for bankruptcy, Seller will reaffirm and execute any and all documents necessary to reaffirm the debt of the Existing Loan(s). Both during and after Seller's performance of the Contract, the Seller will, on demand of Buyer, execute and deliver any instrument, furnish any information, and/or perform any other acts reasonably necessary to carry out the provisions of the Contract and this Addendum without undue delay or expense. Both during and after Seller's performance of the Contract, Seller shall immediately provide Buyer by both email and U.S. Mail with all notices, statements and communications received by Seller about or related to the Existing Loans. Seller shall provide Buyer with the usernames and passwords necessary for Buyer to have online account access for the Existing Loan(s) unless such access will allow Buyer to view or have access to Seller’s financial accounts other than the Existing Loan(s). SELLER DISCLOSURES AND ACKNOWLEDGMENTS _________ Seller Initials NO FURTHER OWNERSHIP OR CONTROL . Seller understands, acknowledges, and agrees that upon close of escrow, Seller will no longer own the Property and no further control over the Property. Buyer may sell or lease the Property in any fashion at Buyer's sole option. _________ Seller Initials EXISTING LOAN(S) NOT PAID IN FULL . Seller understands, acknowledges, and agrees that the Existing Loan(s) for which Seller is the borrower, will not be paid in full as a result of this transaction. _________ Seller Initials DUE ON SALE CLAUSE. Seller understands, acknowledges and agrees that the deed(s) of trust/mortgage(s) securing the Existing Loan(s) contain due on sale clauses, which allows the lender(s) to call the Existing Loan(s) due upon transfer of the Property by Seller to Buyer. _________Seller Initials CONTINUING LIABILITY ON EXISTING LOAN(S) . Seller understands, acknowledges, and agrees that no promises have been made by Buyer to Seller that the Existing Loan(s) will be paid off by Buyer through close of escrow and that upon the close of escrow and thereafter, Seller will remain liable on the Existing Loan(s). _________Seller Initials WRAP-AROUND FINANCING TRANSACTION. This is a wrap-around financing transaction, which means Buyer will pay the Existing Loan(s) according to the terms of the Existing Loan(s) and Seller may pursue foreclosure of the Property if Buyer fails to pay the Existing Loan(s) according to the terms of the Existing Loan(s). _________ Seller Initials WRAP-AROUND FINANCING IS NON-RECOURSE. The note delivered by Buyer to Seller for the wrap-around financing is non-recourse, which means Seller may only pursue the foreclosure of the Property if Buyer fails to pay the Existing Loan(s) according to the terms of the Existing Loan(s), Seller may not pursue a judgment against Buyer for the amounts stated in the note, and Seller may not seek a deficiency judgment against Buyer if the foreclosure of the Property yields an amount insufficient to fully satisfy Buyer’s obligations under the note. _________Seller Initials WRAP-AROUND FINANCING IS NOT DUE ON SALE. Seller understands, acknowledges, and agrees that the note and deed of trust or mortgage delivered by Buyer to Seller for the wrap-around financing will not be due on sale, which means Buyer may sell or lease the Property in any fashion at Buyer's sole option. _________ Seller Initials NO LONGER DEDUCT MORTGAGE INTEREST. Seller understands, acknowledges, and agrees that Seller cannot deduct mortgage interest paid by Buyer even though Seller may continue to receive a form 1098 for the Existing Loan(s). _________Seller Initials EVENT OF FORECLOSURE. Seller understands, acknowledges, and agrees that in the event the Existing Loan(s) are not paid by Buyer, the Property and Seller may be subject to foreclosure proceedings by the servicer(s) or lender(s) of the Existing Loan(s) and such proceedings may harm Seller's credit, result in a loss of equity in the Property and subject Seller to a lawsuit for the deficiency (subject to any anti-deficiency laws). _________Seller Initials EXISTING LOAN(S) ON CREDIT REPORT . Seller understands, acknowledges, and agrees that the Existing Loan(s) may continue to appear on Seller's credit report and may impact or effect Seller's ability to obtain other financing or loans. _________ Seller Initials VA LOAN ELIGIBILITY MAY BE IMPACTED. If an Existing Loan is a VA loan Seller understands, acknowledges, and agrees that the Existing Loan will not be paid off through closing and will remain as a lien against the Property after close of escrow, which may negatively impact Seller’s ability to obtain an additional loan through the VA. _________Seller Initials PROPERTY INSURANCE PROCEEDS. Seller understands, acknowledges, and agrees that any insurance proceeds related to any loss on the Property occurring after COE shall be paid to Buyer. Seller shall not be entitled to receive any insurance proceeds for any loss on the Property occurring after COE. _________ Sellers Initials ACKNOWLEDGEMENT OF DISCLOSURES . Seller acknowledges and agrees that Seller has reviewed and understands the disclosures made to Seller regarding the “Wrap-Around Financing” and “Subject To” sale of the Property to Buyer, that selling the Property to the Buyer is in Seller's best interest and agrees to be bound by the terms of the Contract and all addendums thereto. IN WITNESS WHEREOF, Buyer and Seller have executed this Subject to Addendum as of the dates written below. APPROVED AND ACCEPTED BY SELLER: SELLER: ______________________________________ Date: _________________________________ ______________________________________ Date: _________________________________ APPROVED AND ACCEPTED BY BUYER: BUYER: _ ______________________ , a(n) ___________ limited liability company By:_ ____________________________________ Its: ___________________________________ Date: _________________________________